⚖️ BUSINESS LAW LM3-6 — EXAM CHEAT SHEET

🚨 NEGLIGENCE = 5 ELEMENTS (MUST KNOW ALL)

1. DUTY: Does defendant owe plaintiff a legal duty?
2. BREACH: Did defendant fail to meet reasonable person standard?
3. ACTUAL CAUSATION: "But-for" breach, would injury occur? (No = no liability)
4. PROXIMATE CAUSATION: Was injury FORESEEABLE result of breach? (Palsgraf rule)
5. DAMAGES: Did plaintiff suffer actual harm? (physical, emotional, property)
⚠️ *ALL 5 REQUIRED. Missing one = NO LIABILITY*

⚖️ INTENTIONAL TORTS (Persons & Property)

TORTS TO PERSONS

- **Assault:** Apprehension of contact (no contact needed)
- **Battery:** Actual harmful/offensive contact
- **False Imprisonment:** Unlawful confinement
- **IIED:** Extreme conduct causing emotional distress
- **Defamation:** FALSE statement published damaging reputation
- **Invasion of Privacy:** Unauthorized intrusion

TORTS TO PROPERTY

- **Trespass to Land:** Unauthorized entry onto property
- **Trespass to Chattels:** Interfere with personal property (minor damage)
- **Conversion:** Take over property (full value recovery)

Conversion > Trespass to Chattels (more serious)

⚖️ NEGLIGENCE DEFENSES

- **Comparative Negligence:** Reduce damages by plaintiff's % fault (80% defendant = 80% recovery)
- **Assumption of Risk:** Plaintiff knowingly accepted risk (waiver)
- **Statute of Limitations:** Deadline to sue (2-3 years typical)
- **Intervening Cause:** Third party's unforeseeable act breaks causal chain

📋 LEGAL TERMINOLOGY — FAST REFERENCE

Term	Definition
Plaintiff	Person suing
Defendant	Person being sued
Appellant	Party appealing trial decision
Liability	Legal responsibility for harm
Tort	Civil wrong; basis for lawsuit
Damages	Money awarded to compensate
Breach	Failure to meet legal duty
Proximate Cause	Foreseeable connection between breach & injury
Precedent	Prior court decision guiding future cases
Statute of Limitations	Deadline to file lawsuit
Negligence Per Se	Automatic breach for violating statute
Res Ipsa Loquitur	"Thing speaks for itself"—negligence presumed

⚖️ LANDMARK CASES (EXAM HEAVY)

Palsgraf v. Long Island Railroad: Duty extends ONLY to foreseeable victims. Unforeseeable victim = no liability even if breach occurred. KEY for proximate cause.

May v. Chrysler Group LLC: Manufacturers owe duty to design safe products & warn of hazards. Products liability established.

Bad Frog Brewery v. NYS Liquor Authority: Government can deny license for offensive labels. Commercial speech has limits.

📜 COURT PROCEDURES (Phases)

1. **Pleadings:** Complaint (plaintiff) → Answer (defendant) [establishes claims/defenses]
2. **Discovery:** Documents, depositions, interrogatories [exchange information]
3. **Motions:** Summary judgment, dismissal [procedural rulings]
4. **Trial:** Jury/judge hears evidence [determines liability & damages]
5. **Appeal:** Appellate court reviews legal issues [affirm, reverse, or remand]

⚖️ JURISDICTION (3 TYPES)

Type	Definition
Subject Matter	Court's power to hear TYPE of case (federal: federal questions, diversity >$75K)
Personal	Court's power over DEFENDANT (defendant in state, served with process)
Venue	Proper geographic location (where defendant lives or incident occurred)

💼 BUSINESS ETHICS FRAMEWORKS

- **Utilitarianism:** Maximize benefit for greatest number
- **Deontological:** Follow duties/rules (don't lie, keep promises)
- **Virtue Ethics:** Develop good character (honesty, integrity)
- **Justice/Fairness:** Treat people equitably

📜 CONSTITUTIONAL LAW (Commerce Clause)

- **Commerce Clause:** Congress can regulate interstate commerce & activities substantially affecting it
- **Commercial Speech:** Protected but regulated (no false/misleading, can require warnings)
- **Due Process (5th Amendment):** Government regs must be rationally related to legitimate interest
- **Key Agencies:** FDA (food/drugs), FTC (unfair practices), SEC (securities), OSHA (workplace safety), EPA (environment)

🎯 EXAM STRATEGY — IRAC METHOD

For EVERY scenario:
I = Issue (What's the legal question?)
R = Rule (What law applies?)
A = Application (How does law apply to facts?)
C = Conclusion (Who's liable? For what? Damages?)
Partial credit for correct reasoning even if conclusion is wrong.

✅ QUICK CHECKLIST

- ☐ For NEGLIGENCE: Check all 5 elements (duty, breach, actual cause, proximate cause, damages)
- ☐ For INTENTIONAL TORTS: Identify type (assault, battery, defamation, etc.) & elements
- ☐ For TORTS TO PROPERTY: Distinguish trespass to chattels vs. conversion
- ☐ For CAUSATION: "But-for" test (actual) + foreseeability (proximate)
- ☐ For DEFENSES: Comparative negligence, assumption of risk, statute of limitations
- ☐ For CASES: Palsgraf = foreseeable victims; May = product liability; Bad Frog = commercial speech limits
- ☐ For PROCEDURES: Know pleadings, discovery, trial, appeal phases

- □ Use IRAC for every answer

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